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Recycling with the Best

Weekly Ship Recycling Report

10 February 2024 - 16 February 2024

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Highlights of the week

2024

As the vibrant festivities of Chinese New Year unfurl, painting the world with the auspicious hues of red and gold, we wish to extend our heartfelt greetings to you. May the Lunar New Year usher in a period of unparalleled prosperity, health, and happiness, illuminating your journey with success and fortitude.

The ship recycling sectors across India, Bangladesh, Pakistan, and Turkiye are experiencing varying degrees of market stagnation and operational challenges. In Alang, India, the market remains stagnant with a continuous low demand for scrap vessels, a trend that has persisted over recent weeks. Bangladesh's market is facing a decline, leading buyers to adopt a cautious wait-and-see approach. This cautiousness is further compounded by a non-supportive banking sector, influenced by a dollar liquidity crisis, which has led to selective approval of LCs and challenges in vessel acquisition due to banks' delayed approval processes. In Pakistan, market conditions have not seen any shifts, maintaining the status quo from the previous week. However, the unclear election results and the resulting government formation uncertainty are causing market unrest, with expectations for clarification in the coming days. Türkiye's market has held steady at the levels observed in the previous week, albeit with a notable decrease of 4 USD in imports, indicating a slight shift in market dynamics.

BIMCO, in collaboration with national representatives from Bangladesh, India, Norway, Pakistan, and the International Chamber of Shipping, has formally submitted a paper emphasizing the critical need to address potential conflicts between the Hong Kong Convention and the Basel Convention. This submission, aimed at the upcoming 81st session of the Marine Environment Protection Committee (MEPC) scheduled for March 18-22, 2024, seeks to preemptively mitigate adverse implications for shipowners, recycling facilities, and maritime vessels, thereby ensuring regulatory harmony and operational efficiency within the international shipping industry.

Exchange Rates:

USD / INR ₹

This Week	83.00
Previous Week	83.03
Gained	0.03

USD / BDT ৳

This Week	109.59
Previous Week	109.62
Gained	0.03

USD / PKR Rs

This Week	279.25
Previous Week	277.19
Lost	2.06

USD / TRY ₺

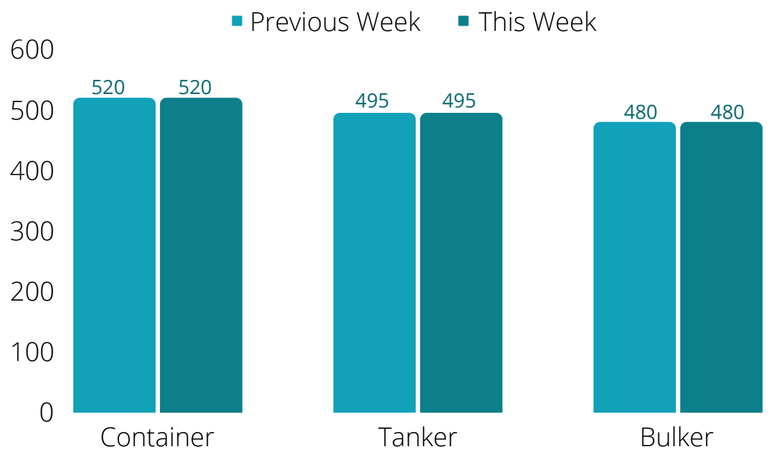
This Week	30.82
Previous Week	30.68
Lost	0.14

India

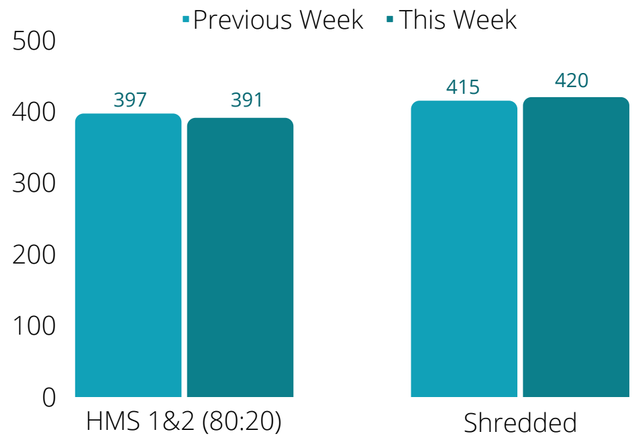
Market stagnation continues with ongoing low demand for scrap vessels.

- Market conditions remain stagnant with persistently low demand for scrap vessels, mirroring the situation of the past few weeks.
- Elevated coal prices may impede the debt reduction strategies of Indian steel manufacturers, potentially leading to a weakening of sector leverage to levels observed in 2021, should input costs persist at their current rates.
- Indian steel producers confront notable risks from the EU's carbon tax on imports, juxtaposed with Australia's $100 billion initiative to become a green energy superpower, highlighting a pivotal shift that poses both challenges and opportunities for the two countries.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

23 February to 27 February 2024
08 March to 15 March 2024
26 March to 30 March 2024

Bangladesh

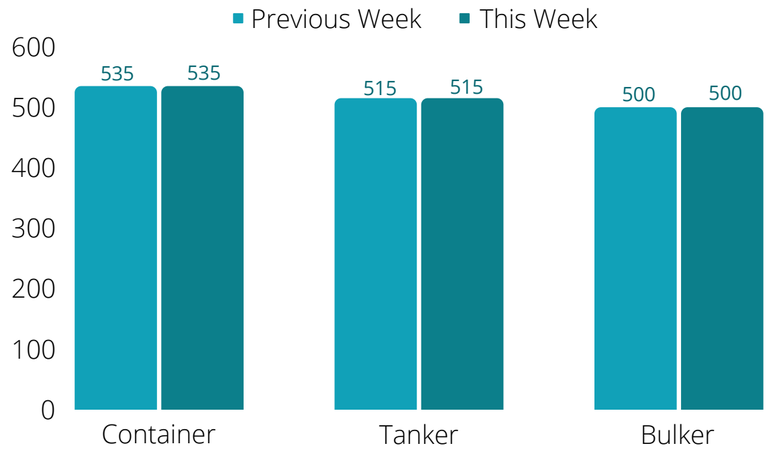
Local market slump and banking challenges intensify amid dollar liquidity crisis.

- Decline in local market leads to cautious approach among buyers, prompting a wait-and-see strategy.
- Banking sector's non-supportive stance exacerbated by dollar liquidity crisis, resulting in selective approval of LCs.
- Challenges in vessel acquisition due to banks' delayed approval process; frequently, vessels are sold before receiving final bank approval.
- These trends are becoming increasingly common in the current market environment.
- Bangladesh Bank introduces Taka-Dollar exchange facility to enhance financial flexibility of commercial banks. This strategic initiative aims to support banking sector operations and improve foreign exchange management. The new facility is designed to streamline currency transactions and mitigate exchange rate volatility.

Beaching Dates

26 February to 29 February 2024
11 March to14 March 2024
25 March to 28 March 2024

Price for Recycling Ships in Bangladesh



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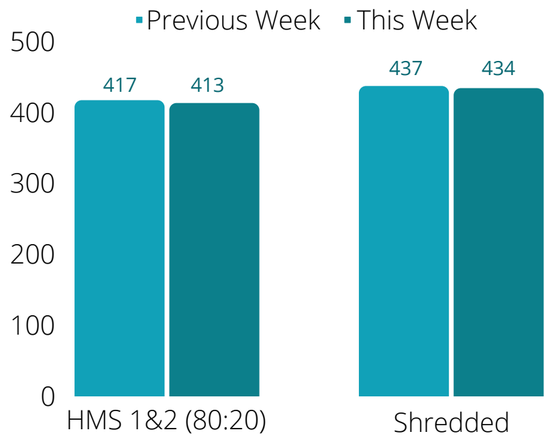
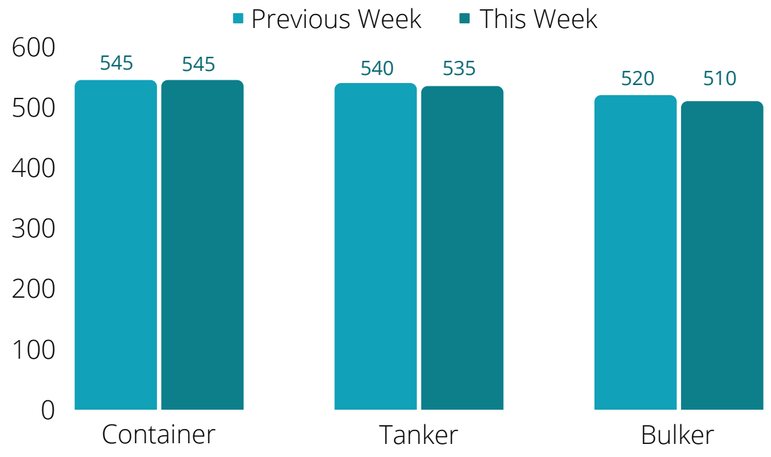


Pakistan

Markets stagnate amid election confusion; Pakistan steel industry seeks growth boost, forex reserves slightly up.

- There has been no shifts in the markets, and they have remained unchanged from the previous week.
- The election results lack clarity regarding the formation of the government. Extreme uncertainty tends to unsettle the markets. The position will be clarified in the coming days.
- The steel industry in Pakistan has made a request to the caretaker prime minister to streamline the turnover tax and implement export facilitation scheme (EFS) rules in order to enhance the growth of the sector.
- The Pakistan central bank's foreign exchange reserves increased by $13 million to $8.05 billion in February, according to a statement from the state bank of Pakistan.

Price for Recycling Ships in Pakistan



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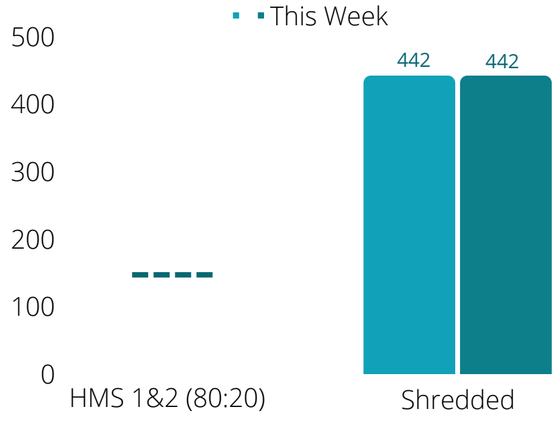


Beaching Dates

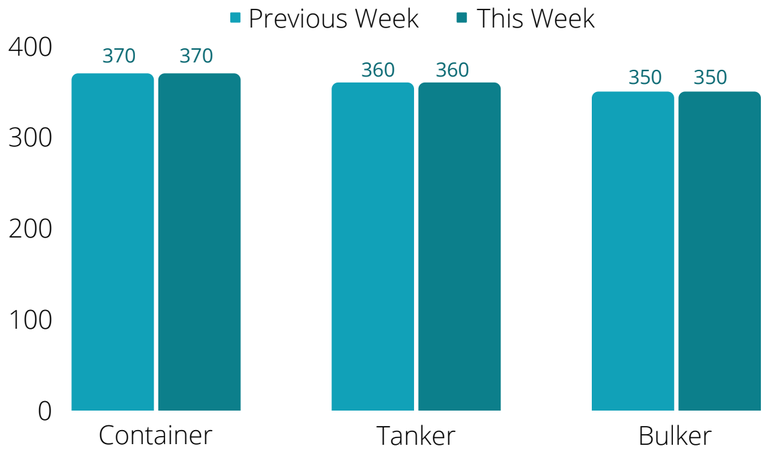
Throughout the month

Türkiye

The market remains same (dull) as in the previous week and imports are falling.

- The local market has maintained its levels from the previous week, while there has been a decrease of 4 USD in imports.
- Turkish budget revealed a deficit of 150.72 billion lira ($4.9 billion) in January, with the primary deficit, excluding interest payments, totaling 29.6 billion lira, according to the Treasury and Finance Ministry.
- Turkey and Egypt have decided to strengthen their energy cooperation by exploring potential trade prospects in natural gas and liquefied natural gas (LNG). This decision was announced in a statement during a significant visit by Turkish president to Egypt.

Price for Recycling Ships in Türkiye



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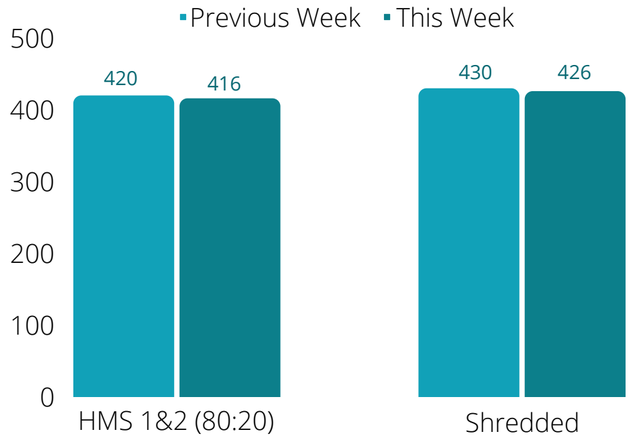
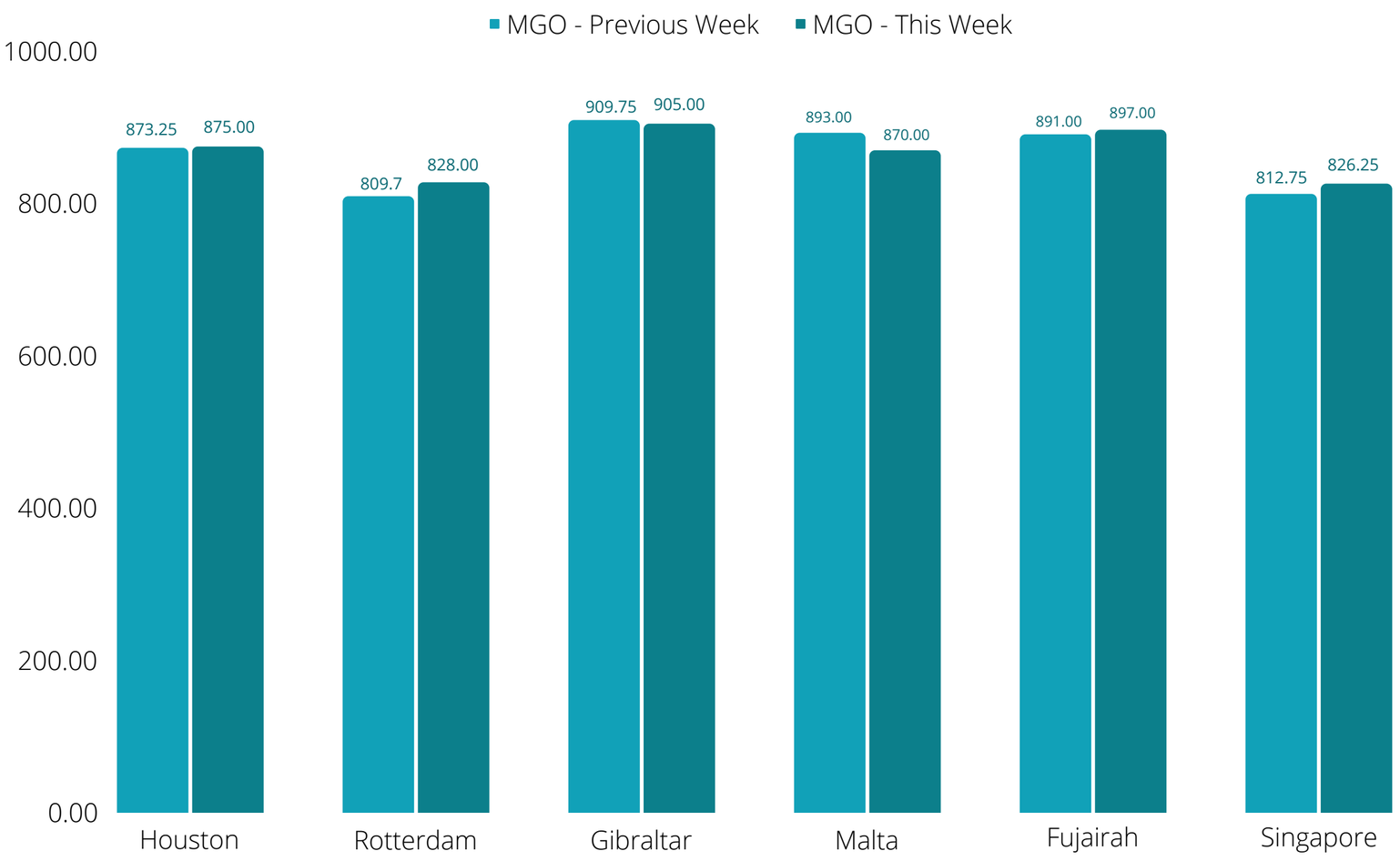


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 82.10
Previous Week	: 81.52
Movement	: - 0.58

WTI Crude

This Week	: 77.43
Previous Week	: 76.20
Movement	: -1.23

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
SINAR TARAKAN	GAS CARRIER	9113991	1995	JAPAN	2,080	DELIVERED	CHITTAGONG, BANGLADESH	540
BONTRUP EMIRATES	GENERAL CARGO	8313702	1986	SOUTH KOREA	11,722	DELIVERED	ALANG, INDIA	520
LILA NANTONG	BULKER	9278521	2003	JAPAN	23,982	DELIVERED	CHITTAGONG,BANGLADESH	500

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